The ₹3 Lakh Crore Bag: India's Urea Paradox and the Business Hiding Inside It

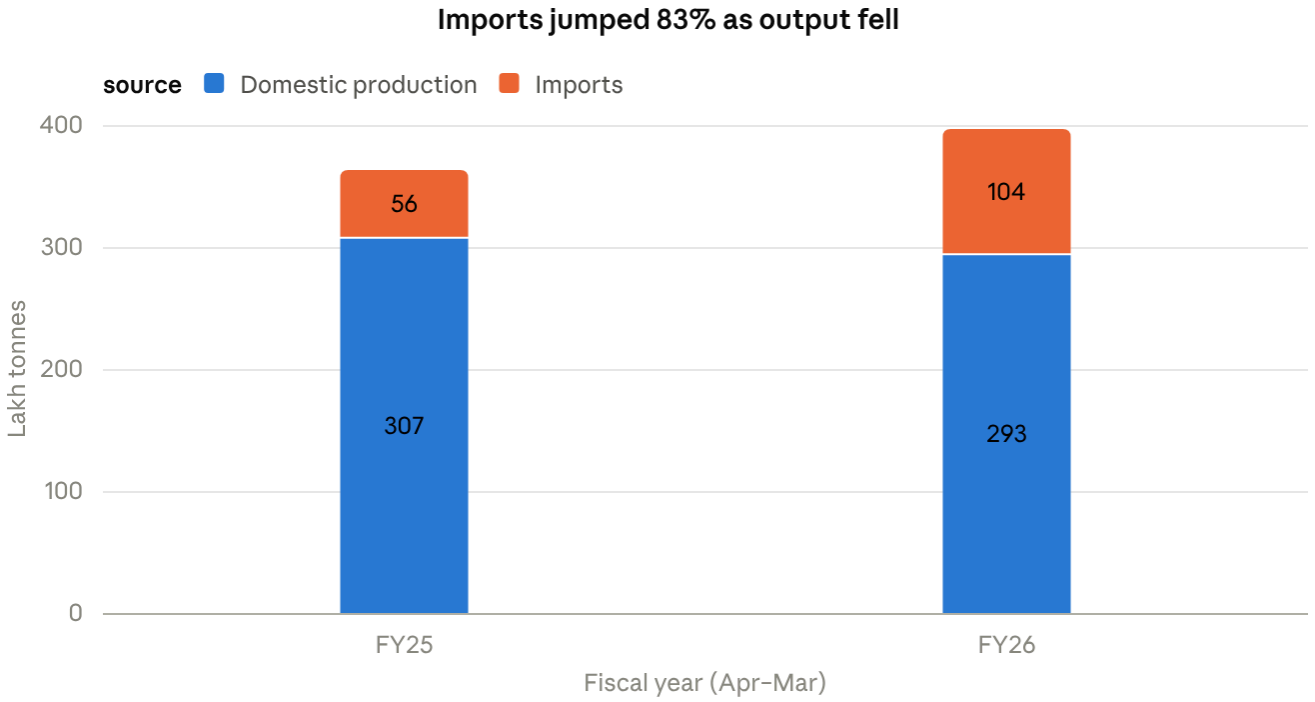
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By Pratik Priyaranjan Sahoo, CFA Level II Candidate · Reading time: ~8 minutes

India is the world's largest importer of urea, and in FY26 its dependence got worse, not better. Urea imports surged 83% to 103.5 lakh tonnes while domestic production slipped to 293 lakh tonnes — and that was *before* the 2026 Hormuz crisis hit.

The big picture

Urea is the backbone of Indian farming. It accounts for roughly 45% of all fertiliser used in the country, and sales touched nearly 40 million tonnes in calendar 2025. Farmers buy it at a government-fixed price far below market rates, so demand keeps rising regardless of global costs.



Urea supply by source, lakh tonnes. Import share of supply rose from ~16% in FY25 to ~26% in FY26.

Govt data in Parliament via India Sea Trade News · FY25–FY26

Metric	Figure
Urea plants in India	33
Installed capacity	~269 lakh tonnes a year

Metric	Figure
Production, FY24 (record)	314 lakh tonnes
Production, FY26	293 lakh tonnes
Imports, FY26	103.5 lakh tonnes (+83% YoY)
Typical annual imports	6–10 million tonnes

The hidden dependence: gas

The headline import number understates the real problem. Urea is made from ammonia, and ammonia is made from natural gas. According to IEEFA, imported LNG now supplies around 86% of the gas used in domestic urea plants, and roughly half of India's LNG comes from the Gulf. So even "Made in India" urea is largely imported energy in a different form. Counting the feedstock, India's true dependence on foreign supply for its nitrogen fertiliser is far higher than the ~20–26% import share suggests.

Why India still imports — and what 2026 exposed

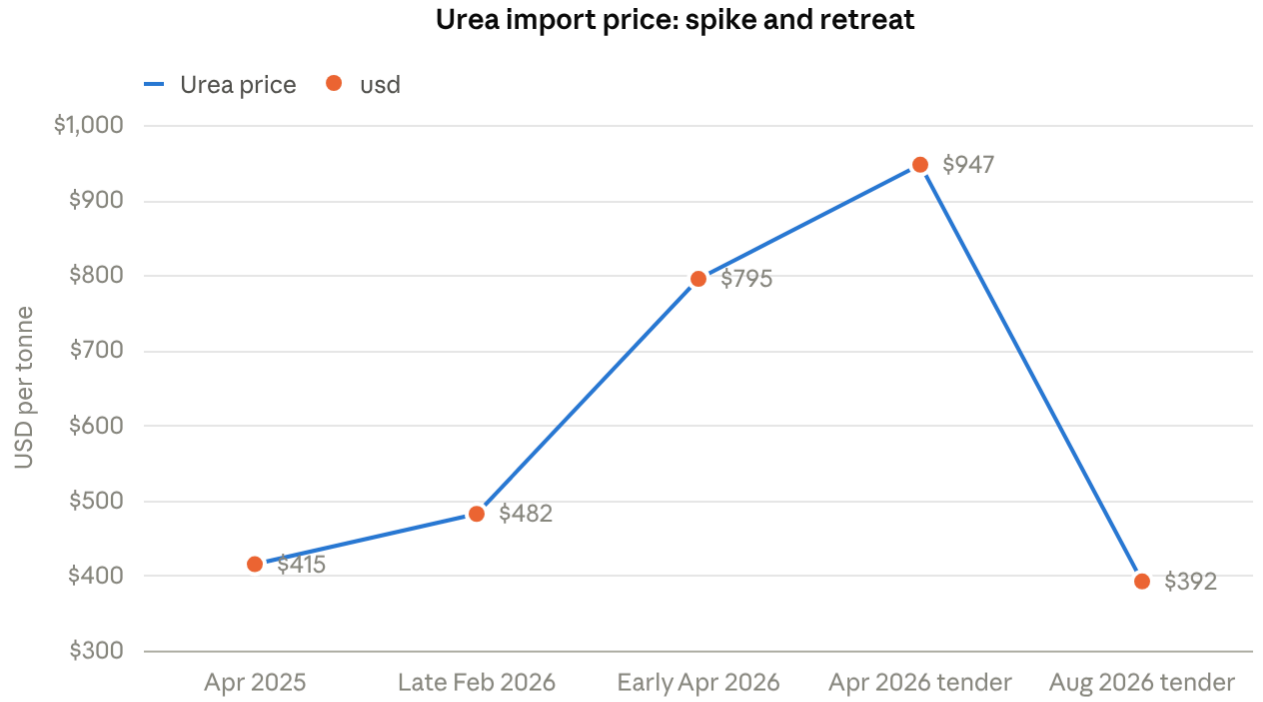
Demand outruns capacity

India's 33 plants can make about 269 lakh tonnes a year at nameplate capacity, and run above that in good years. But demand is near 400 lakh tonnes. Because the farm-gate price is fixed (roughly ₹266 for a 45-kg bag), there is no price signal to curb overuse — urea is often applied well beyond what crops need, at the expense of phosphate and potash balance.

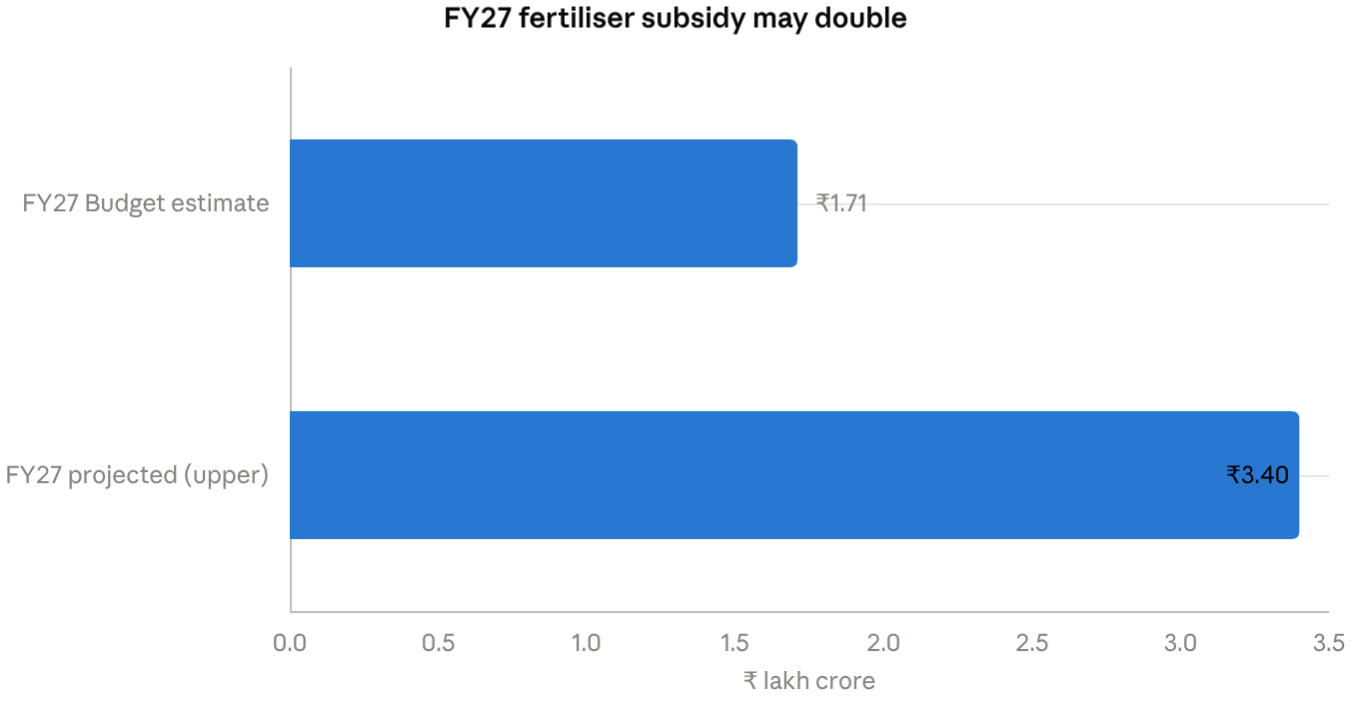
The 2026 Hormuz shock

When the Strait of Hormuz was closed during the US–Iran conflict, India was hit twice:

- **Feedstock shock:** Qatari LNG supplies were suspended. Some urea plants shut down or advanced maintenance, and domestic output fell by about a quarter in March 2026. LNG spot prices jumped from about $10.4/MMBtu in late February to a peak near $25.4 in early March.
- **Import price shock:** Global urea prices rose about 65% in 40 days. In April, Indian Potash Ltd bought a record 2.5 million tonnes in a single tender at $935–959 per tonne — more than double the year-earlier price.



USD per tonne. April tender = midpoint of $935–959; August tender landed at ~$390–394.



₹ lakh crore. Projection per government officials and fiscal estimates, mid-2026.

Business Today, Kotak Neo, KNN India, Superkalam, Plutus IAS · Apr 2025–Aug 2026

India avoided an actual shortage. The strait reopened on 17 April, the government bought aggressively on spot markets, and it rerouted supply: Egypt, Algeria, Nigeria and Georgia supplied 52% of India's 2.5 million tonnes of urea imports in April–June 2026, up from almost nothing a year earlier. By June, urea stocks stood at 81 lakh tonnes, up from 69 lakh a year before. Prices have since normalised — an August tender landed near $390 a tonne.

Farms dodged it; the budget didn't

Farmers kept paying the same price, so the entire shock landed on the exchequer. The FY27 fertiliser subsidy was budgeted at ₹1.71 lakh crore; officials now say it could exceed ₹3 lakh crore, with some estimates up to ₹3.4 lakh crore. In April 2026 alone the Centre spent about ₹22,000 crore on fertiliser subsidy. That is the real cost of import dependence: every global spike becomes a fiscal hole.

The self-sufficiency push: what's working and what isn't

Initiative	Status	My read
New gas-based plants	Six plants added ~76 lakh tonnes of capacity in recent years (Gorakhpur, Sindri, Barauni, Ramagundam and others)	Worked on volume, but deepened LNG dependence
Talcher coal-gasification plant (Odisha)	12.7 lakh tonnes a year; JV of GAIL, Coal India, RCF and FCIL; targeted for Dec 2027	Strategically big: first urea from domestic coal instead of imported gas
Coal & lignite gasification scheme	₹37,500 crore outlay approved May 2026; national goal of 100 MT gasification capacity by 2030	Could replicate Talcher if the first plant's economics hold
Nano urea (IFFCO)	~14 crore bottles produced since 2021; ~2.5 crore unsold; independent efficacy studies ongoing	Unproven — a PAU field trial found wheat and rice yields fell 21% and 13%
Supplier diversification	Africa, Georgia, Russia, China; long-term Saudi and Moroccan contracts for phosphates	Reduces chokepoint risk, not cost risk
LNG diversification	Cargoes from the US, Oman, Angola, Norway and others after Qatar disruption	Helps security; gas remains imported

The pattern is clear. India has become far better at *making* urea, but it has done so mainly by importing the gas to make it. True self-reliance needs either domestic feedstock (coal gasification, more domestic gas) or lower consumption per hectare (better efficiency products, balanced nutrition, subsidy reform).

Where the business opportunity is

A government that may spend over ₹3 lakh crore a year on fertiliser subsidies has every incentive to pay for anything that cuts imports or cuts usage. That creates openings across the value chain — though not all of them are open to small players.

Opportunity	Why now	Who can play	Entry barrier
Coal-to-urea / coal-to-ammonia	₹37,500 cr gasification scheme; Talcher as proof of concept	EPC firms, equipment makers, PSU JVs	Very high (₹13,000+ cr per plant)
Green ammonia & green urea	Long-term route to cut both gas imports and emissions as renewable hydrogen costs fall	Renewable developers, large industrial groups	Very high; economics still emerging
Efficiency fertilisers (coated, slow-release, water-soluble, customised blends)	Every tonne saved per hectare is a tonne not imported	Mid-size agrochem and specialty fertiliser firms	Medium; needs regulatory approval and field proof
Soil testing, precision nutrition & drone spraying	Overuse of urea is the cheapest "supply" to unlock	Agri-tech startups, FPOs, rural entrepreneurs	Low to medium
Port handling, bagging, warehousing & rail logistics	Record single tenders of 2.5 MT and new African routes need capacity	Logistics firms, port operators, warehouse owners	Medium
Distribution & retail (agri-input stores)	~40 MT of annual sales flows through dealers	Local entrepreneurs	Low; thin margins, fixed MRP

The investor's angle

Listed urea makers (such as Chambal Fertilisers, RCF, NFL and GSFC) operate under a cost-plus subsidy regime. Their profits depend less on urea prices and more on plant energy efficiency versus government norms, and on how quickly subsidy dues are paid. In

a year like FY27, when the subsidy bill may double, delayed payments can strain working capital. Gas importers and handlers (such as Petronet LNG and GAIL) and specialty fertiliser companies (such as Coromandel International) offer different exposures to the same theme. *This is not a recommendation to buy any stock.*

Key risks

- **Policy risk:** Fixed farm-gate prices and state-canalised urea imports limit private pricing power and trading access.
- **Feedstock risk:** Any new gas-based capacity adds to LNG dependence; coal routes carry high capital and emissions costs.
- **Unproven technology:** Nano urea's mixed field results are a warning that efficiency claims need independent evidence.
- **Fiscal fatigue:** A government squeezed by subsidies may delay payments or reform rules abruptly.

My view

India's urea story is a classic case of solving the visible problem while deepening a hidden one. Building plants reduced finished-urea imports for a few years, but it shifted the dependence upstream into LNG — which the 2026 Hormuz crisis exposed brutally. The opportunity of the next decade lies in two places: **domestic feedstock** (coal gasification today, green ammonia tomorrow) and **using less** (efficiency products, precision application and, eventually, subsidy reform that gives farmers a reason to stop overusing urea). Businesses that help India grow the same crop with fewer imported molecules will have the government as their most motivated customer.

Disclaimer: This article is the author's personal analysis for educational purposes and is not investment advice. Data as of 12 October 2026.

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